

INDIAN ECONOMY

**LEVEL
II**



TERMINOLOGY

MODULE - 5

49. LIQUIDITY
50. SOLVENCY
51. INSOLVENCY
52. BANKRUPTCY

53. INSOLVENCY & BANKRUPTCY CODE
54. LIQUIDATION
55. RESOLUTION
56. RELATED-PARTY TRANSACTIONS

57. DISGORGEMENT
58. ARBITRATION
59. SYSTEMIC RISK
60. CONTAGION RISK



MODULE - 5**49****LIQUIDITY****50****SOLVENCY****51****INSOLVENCY****52****BANKRUPTCY****53****INSOLVENCY & BANKRUPTCY
CODE****54****LIQUIDATION****55****RESOLUTION****56****RELATED-PARTY TRANSACTIONS****57****DISGORGEMENT****58****ARBITRATION****59****SYSTEMIC RISK****60****CONTAGION RISK**

49

LIQUIDITY

- Liquidity describes the degree to which an asset or security can be quickly bought or sold in the market at a price **reflecting its intrinsic value**.
- It is the ease of converting an **asset to cash**.



LIQUIDITY BACKSTOP

- A Backstop is an act of providing **last resort support**, where a liquidity provider acts as a "**buyer of last resort**".
- Letters of Credit and Bond Purchase Agreements are examples of Liquidity Backstops.

50

SOLVENCY

- Solvency directly relates to the **ability of an individual or business** to pay their **long-term debts** including any associated interest.
- To be considered solvent, the **value of an entity's assets** must be **greater than** the sum of its debt obligations.



Value of property Rs. 2 Cr



Value of debts Rs. 1 Cr

51

INSOLVENCY

- In legal terminology, it is the situation where the **liabilities** of a person or firm exceed its **assets**.
- In practice, however, insolvency is the situation where an entity **cannot raise enough cash** to meet its obligations, or to pay debts as they become **due for payment**.
- It can lead to insolvency proceedings, in which **legal action will be taken against the insolvent entity**, and assets may be liquidated to pay off outstanding debts.



Value of property Rs. 500 Cr



Value of total debts Rs. 1,000 Cr

52

BANKRUPTCY

- It is the **legal procedure** for **liquidating a business or property** owned by an entity, which cannot fully pay its debts.
- Two major objectives of a bankruptcy are ---
 - **Fair settlement of the legal claims** of the creditors through an equitable distribution of debtor's assets.
 - To provide the **debtor** an opportunity for **fresh start**.



Value of property Rs. 500 Cr



Value of total debts Rs. 1,000 Cr

53

INSOLVENCY & BANKRUPTCY CODE

The Insolvency and Bankruptcy Code, 2016 (IBC) is the bankruptcy law, which seeks to consolidate the **existing legal framework** by creating a single law for insolvency and bankruptcy, with **focus on resolution**.



Dues to the
banks
Rs. 5,000 Cr



54

LIQUIDATION

- Winding up of a firm by **selling off its assets to convert them into cash** to pay the firm's creditors.
- Any remaining amount is distributed among the shareholders in proportion to their shareholdings.



Dues to the
banks
Rs. 5,000 Cr



55

RESOLUTION

- **Avoiding liquidation** by preserving the inherent business value of the company. This way, we can enhance the **value of the stressed firm**, which creates further employment and benefits majority of the stakeholders.
- The **main purpose** of IBC is Resolution.



56

RELATED-PARTY TRANSACTIONS

A related-party transaction is a deal between two parties, who have pre-existing business relationship or common interest or among the relatives



This is the public limited textile company. Promoter is Mr. X.



The machinery for textile company is manufactured by the firm owned by Mr. Y, who is the son of Mr. X.

The company purchased machinery from the firm owned by Mr. Y and it comes under Related-Party Transactions. It is very difficult to ensure transparency in the Related-Party Transactions.



57

DISGORGEMENT

A situation in which a person or organization is **forced to pay back** money that they have made in an **illegal way**.



The corrupt official purchased the building through the money he got illegally. Disgorgement means he is forced to pay back the cost of the building !

58

ARBITRATION

- Settlement of a dispute between **parties to a contract** by a **neutral third party** (the arbitrator) without resorting to court action.
- Arbitration is usually **voluntary**, but sometimes it is required by law.



पेट्रोलियम एवं प्राकृतिक गैस मंत्रालय
MINISTRY OF
PETROLEUM AND NATURAL GAS

59

SYSTEMIC RISK

- Systemic risk is the possibility that an event at the company level **could trigger severe instability** or collapse an entire industry or **destabilize economy**.
- It represents the risk connected to the complete failure of a business, a sector or industry, a financial institution or the overall economy.
- Companies considered to be a systemic risk are called **“too big to fail”**.

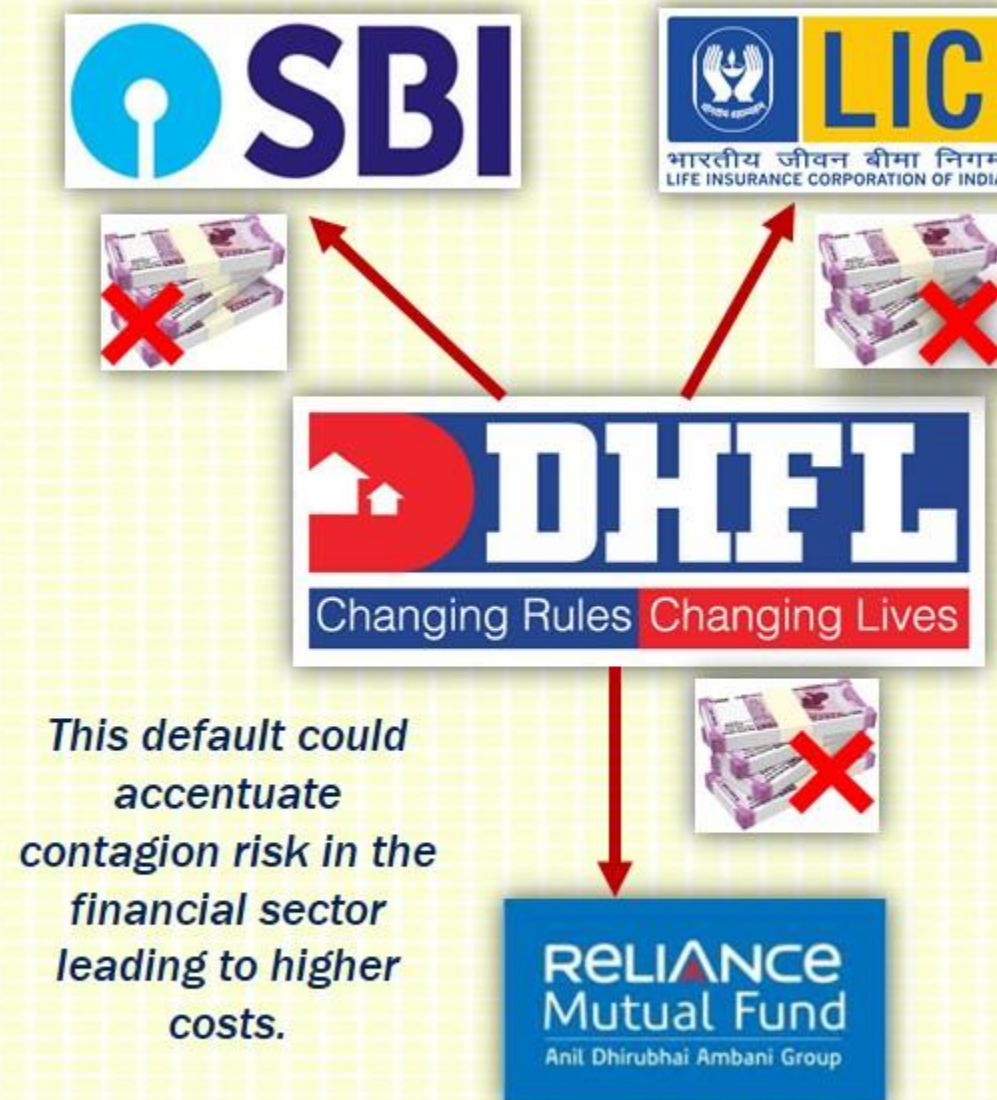
It became a key concept during the Global Financial Crisis (GFC).



60

CONTAGION RISK

- It refers to the **diffusion** of either **economic booms or economic crises** throughout a geographic region.
- It is the spread of **market changes** or disturbances from **one regional market** to **others**.



WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

Presented by



Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

0866 244 44 72

98499 42299

94415 27588